

Tencent Holdings (700 HK)

Buy: First take on HY4 preview

- ◆ Another big step up; closing the gap with top domestic peers
- ◆ Key use cases (but not limited to): software engineering, office and analysis, game development, scientific research
- ◆ Maintain Buy rating and target price at HKD655.00

Another leap in capability: Tencent released HY4 preview (Mixture-of-Experts – MoE model) on 28 August 2026. Compared to HY3, we note the following changes: **(1) Scale:** Model size went from 295bn to 770bn parameters, context length went from 256k to 1m, and training data also all scaled up (Exhibit 2). **(2) Capability leap:** HY4 preview was developed using high-quality training data co-created with Tencent experts across software engineering, gaming, finance, security, and other domains, and co-designed with products like WorkBuddy in mind. On architecture, HY4 preview leverages a gated *DeepSeek Sparse Attention* to reduce computational complexity and GLM's *IndexCache* to improve indexing efficiency thereby balancing the long context scenarios performance with cost efficiency. All these updates drove HY4 preview to deliver better capabilities in productivity tasks such as coding, office work, game development, and scientific research. On Code Arena: WebDev, it ranked #6 (Exhibit 3). On Terminal-Bench-2.1, HY4 preview's score is on par/only slightly behind other frontier models in China and the US (Exhibit 4). On DeepSWE, HY4 preview scores even higher than Qwen-3.8 Max and DeepSeek-V4 Pro (Exhibit 5). In the internal blind test on engineering tasks, HY4 preview came in slightly ahead of GLM-5.3 and Kimi-K3. **(3) Initial signs of recursive self-improvement loop:** HY4 preview contributed to its own development process, such as automated optimisation of training methods, data strategies, evaluation frameworks, etc. **(4) Cost efficiency:** While the price of HY4 preview is more expensive than HY3 due to its higher intelligence level, it is cheaper than models with similar parameter size level, e.g. 40-84% cheaper than GLM-5.3 (744bn parameters, 1m context window) in input and output prices. **(5) Limitations:** Spending longer-than-expected on reasoning complex tasks and its tendency to over-verify its own work are the key pushbacks. We expect more data feedback from users and post-training can further improve HY4 over time.

HY update can propel stronger token usage: HY4 preview is available for free on WorkBuddy and CodeBuddy for two weeks. It can also be accessed via Yuanbao, ima, and other Tencent products, as well as via API through Tencent Cloud TokenHub and OpenRouter. We expect token usage growth to remain strong with the launch of HY4 preview and later unveiling of HY4, i.e. referencing HY3 daily token usage, which was 7x vs HY3 preview across channels during its paid period. HY4 may come in October, based on the faster iteration pace vs before (Exhibit 2). Higher token usage presents revenue growth opportunities but can also bring more cost.

Our TP of HKD655.00 implies c44% upside from current levels; accordingly, we maintain our Buy rating on the stock. See page 4 for full valuation and key downside risks.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Equities Internet Software & Services

China



MAINTAIN BUY

TARGET PRICE (HKD)

655.00

PREVIOUS TARGET (HKD)

655.00

SHARE PRICE (HKD)

455.20

(as of 28 Aug 2026)

UPSIDE/DOWNSIDE

+43.9%

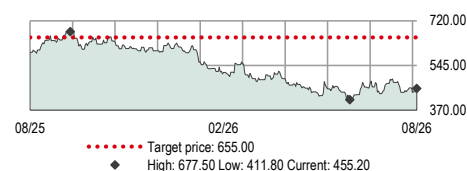
MARKET DATA

Market cap (HKDm)	4,143,752	Free float	67%
Market cap (USDm)	528,526	BBG	700 HK
3m ADTV (USDm)	1,844	RIC	0700.HK

FINANCIALS AND RATIOS (RMB)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	28.09	28.83	28.75	32.87
HSBC EPS (prev)	28.09	28.83	28.75	32.87
Change (%)	0.0	0.0	0.0	0.0
Consensus EPS	28.03	29.67	31.69	34.27
PE (x)	13.9	13.5	13.6	11.9
Dividend yield (%)	1.2	1.2	1.2	1.4
EV/EBITDA (x)	12.2	11.0	10.1	8.8
ROE (%)	24.4	21.4	18.8	19.0

52-WEEK PRICE (HKD)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: Tencent Holdings

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (RMBm)				
Revenue	751,766	816,799	881,960	941,112
EBITDA	310,767	341,818	372,345	429,502
Depreciation & amortisation	-66,028	-78,407	-104,106	-123,327
Operating profit/EBIT	244,739	263,410	268,240	306,176
Net interest	1,779	2,456	-354	-679
PBT	277,249	280,336	280,517	321,078
HSBC PBT	312,033	321,510	321,983	364,559
Taxation	-47,448	-49,947	-52,649	-60,210
Net profit	224,842	223,225	220,048	253,047
HSBC net profit	259,626	264,399	261,514	296,529
Cash flow summary (RMBm)				
Cash flow from operations	303,052	311,533	344,360	390,421
Capex	-112,723	-212,368	-264,588	-301,156
Cash flow from investment	-205,732	-195,320	-249,758	-287,004
Dividends	-39,907	-41,325	-42,878	-42,358
Change in net debt	40,596	-32,970	-339	-9,675
FCF equity	190,329	99,165	79,772	89,266
Balance sheet summary (RMBm)				
Intangible fixed assets	228,338	231,914	236,674	242,685
Tangible fixed assets	1,073,034	1,218,134	1,387,506	1,575,926
Current assets	620,000	649,499	662,251	671,631
Cash & others	141,041	163,286	153,568	153,840
Total assets	2,038,986	2,217,161	2,404,046	2,607,855
Operating liabilities	388,504	407,846	446,979	467,240
Gross debt	387,733	377,008	366,951	357,548
Net debt	246,692	213,722	213,383	203,708
Shareholders' funds	1,154,152	1,316,546	1,466,534	1,651,666
Invested capital	1,391,827	1,528,415	1,685,884	1,869,161

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	13.9	8.7	8.0	6.7
EBITDA	21.2	10.0	8.9	15.4
Operating profit	22.3	7.6	1.8	14.1
PBT	14.8	1.1	0.1	14.5
HSBC EPS	18.6	2.7	-0.3	14.3
Ratios (%)				
Revenue/IC (x)	0.6	0.6	0.5	0.5
ROIC	18.1	16.5	15.1	15.4
ROE	24.4	21.4	18.8	19.0
ROA	12.0	10.8	9.9	10.4
EBITDA margin	41.3	41.8	42.2	45.6
Operating profit margin	32.6	32.2	30.4	32.5
EBITDA/net interest (x)			1052.6	632.2
Net debt/equity	19.9	15.2	13.6	11.6
Net debt/EBITDA (x)	0.8	0.6	0.6	0.5
CF from operations/net debt	122.8	145.8	161.4	191.7
Per share data (RMB)				
EPS Rep (diluted)	24.32	24.34	24.19	28.05
HSBC EPS (diluted)	28.09	28.83	28.75	32.87
DPS	4.76	4.76	4.72	5.46
Book value	124.85	143.57	161.24	183.09

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	5.1	4.6	4.3	4.0
EV/EBITDA	12.2	11.0	10.1	8.8
EV/IC	2.7	2.5	2.2	2.0
PE*	13.9	13.5	13.6	11.9
PB	3.1	2.7	2.4	2.1
FCF yield (%)	5.4	2.8	2.2	2.5
Dividend yield (%)	1.2	1.2	1.2	1.4

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	57.0	No. of board members	8
Energy intensity*	83.3	Average board tenure (years)	16.0
CO ₂ reduction policy	Yes	Female board members (%)	25
Social Indicators		Board members independence (%)	62.5
Employee costs as % of revenues	17.4		
Employee turnover (%)	n/a		
Diversity policy	Yes		

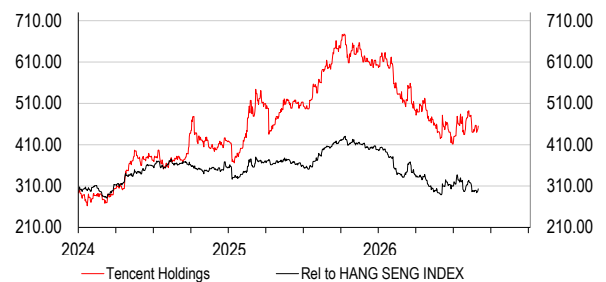
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	455.20	Free float	67%
Target price (HKD)	655.00	Sector	Internet Software & Services
RIC (Equity)	0700.HK	Country/Region	China
Bloomberg (Equity)	700 HK	Analyst	Charlene Liu
Market cap (USDm)	528,526	Contact	+65 6658 0615

Price relative



Source: HSBC

Note: Priced at close of 28 Aug 2026

Exhibit 1: Comparison of key model metrics

Company	Key latest models	Context Window (k)	Parameters (bn)	Activated parameters (bn)	Open/Proprietary
Tencent	HY4 preview	1000	770	49	Open
	HY3	256	295	21	Open
Z.ai	GLM-5.3 Flash	1000	320	18	Open
	GLM-5.3	1000	744	40	Open
Moonshot AI	Kimi-K3	1000	2800	104	Open
MiniMax	MiniMax-M3	1000	428	23	Open
DeepSeek	DeepSeek-V4 Flash	1000	284	13	Open
	DeepSeek-V4 Pro	1000	1600	49	Open
Alibaba	Qwen-3.8 Max	1000	2400	95	Open
	Qwen-3.8-Flash	262	125	6	Open

Source: Company data

Exhibit 2: HY iteration comparisons

Key metrics	HY3 preview*	HY3	HY4 preview
Date	23-Apr-26	6-Jul-26	28-Aug-26
No. of days vs. previous version	139	74	53
Parameters (bn)	295	295	770
Activated parameters (bn)	21	21	49
Activation ratio (%)	7.1%	7.1%	6.4%
Context window	256k	256k	1m
Architecture	Mixture of Experts (MoE)	Mixture of Experts (MoE)	Mixture of Experts (MoE)
Experts	8 out of 192 experts	8 out of 192 experts	8 out of 256 experts
API pricing (RMB/1m tokens)			
Input (cache hit)	0.40 / 0.60 / 0.80	0.25	0.30
Input (cache miss)	1.2 / 1.6 / 2.0	1.00	6.00
Output	4.0 / 6.4 / 8.0	4.00	18.00
Price chg % vs. previous			
Input (cache hit)		-38% to 69%	20%
Input (cache miss)		-17% to -50%	500%
Output		0% to -50%	350%

Note: HY3 preview has different API pricing depending on the input lengths (0-16k, 16-32k, 32k+).

Source: Company data

Exhibit 3: HY4 preview ranked #6 on Code Arena: WebDev, a significant improvement from HY3

Rank	Model	Code Arena: WebDev score
1	Claude Opus-5-Max	1,691
2	Kimi-K3-Max	1,674
3	Qwen-3.8-Max	1,669
4	Claude-Opus-5-High	1,663
5	GLM-5.3-Flash	1,634
6	HY4-preview	1,633
7	Grok-4.6-High	1,629
8	Claude-Fable-5	1,626
9	GPT-5.6-Sol-Xhigh (codex-harness)	1,619
10	Qwen-3.8-Flash-Next	1,617

Note: AI as of 30 August 2026.

Source: Arena

Exhibit 4: HY4 preview narrowed its gap with top-tier models on Terminal-Bench

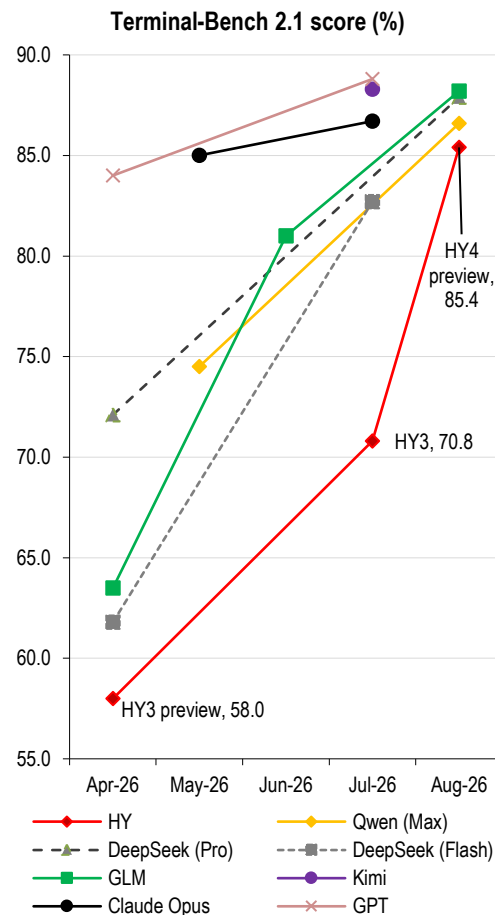
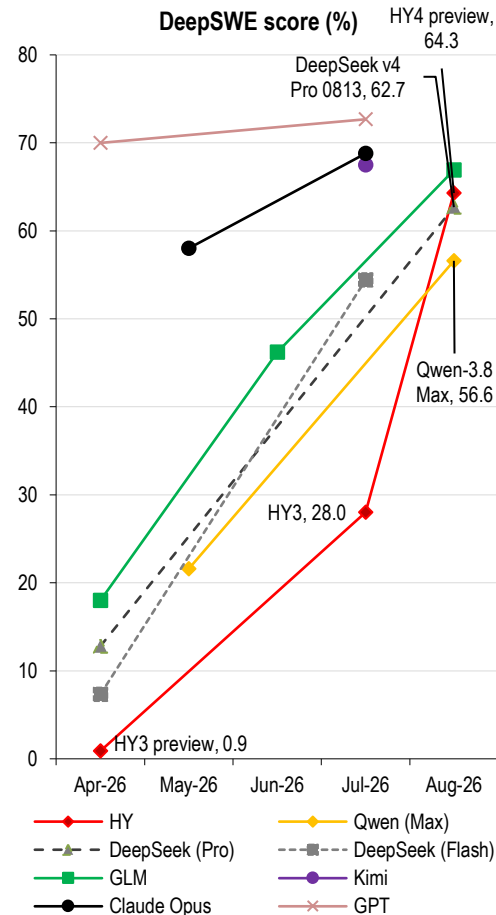


Exhibit 5: HY4 preview surpassed DeepSeek v4 Pro and Qwen-3.8 Max on DeepSWE



Valuation and risks

Valuation		Valuation	Risks to our view
Tencent 700 HK Buy	Current price:	Methodology: DCF	Downside risks: ◆ Inability to get monetisation approval for games. ◆ Regulatory headwinds for games and internet finance. ◆ A deeper macro slowdown that could affect advertisers' budgets. ◆ Inappropriate advertising and video content. ◆ Changes in user preferences in terms of entertainment formats or communications. ◆ Overhang from major shareholders' reduction of stake over time. ◆ Being included in lists of overseas regulators that can affect operations or even trading/ownership of the stock. ◆ Higher-than-expected AI investment intensity and/or weaker monetisation/ROI could pressure margins and cash flow.
	Target price:	Assumptions: WACC of 8.4% is based on a debt/debt-and-equity ratio of 21.1%, risk-free rate of 4.25%, mainland China market equity risk premium of 4.75%, beta of 1.21, tax rate of 25%, and cost of debt of 3.2%. We use a terminal growth rate of 3.5%. Our inputs remain unchanged.	
	Upside:	We derive a TP of HKD655, which implies 43.9% upside from current levels. We maintain our Buy rating on the stock because we see solid fundamentals in games and ads.	
		RMB counter: For the RMB counter (80700 HK, RMB391.00), our TP of RMB589.00 is converted from our H-share target price based on our FX team's RMB-HKD assumption of 1.17 at end-2026e.	

Note: Priced as of 28 August 2026.
Source: Bloomberg, HSBC estimates

Disclosure appendix

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Upside/Downside is the percentage difference between the target price and the share price.

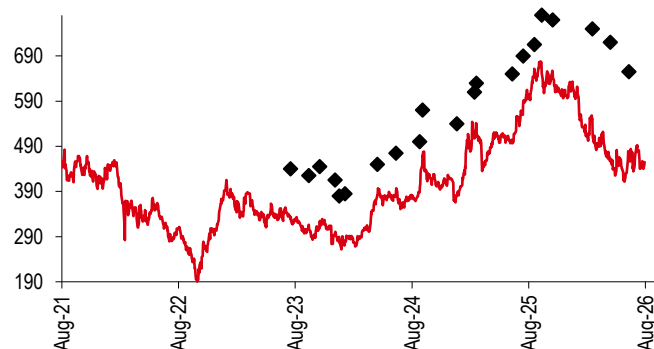
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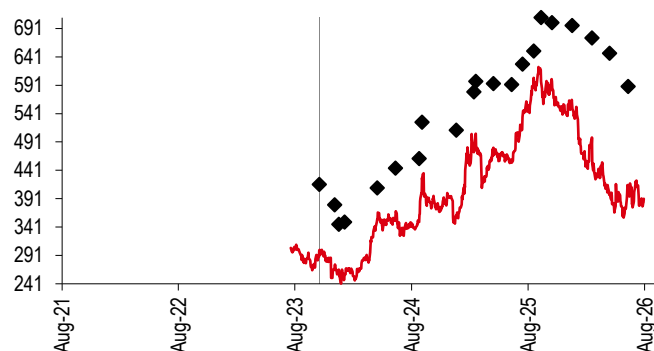
Share price and rating changes for long-term investment opportunities
Tencent Holdings (0700.HK) share price performance
HKD Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	30 Jan 2019	Binnie Wong
Target price	Value	Date	Analyst
Price 1	440.00	16 Aug 2023	Charlene Liu
Price 2	425.00	12 Oct 2023	Charlene Liu
Price 3	445.00	15 Nov 2023	Charlene Liu
Price 4	415.00	02 Jan 2024	Charlene Liu
Price 5	380.00	15 Jan 2024	Charlene Liu
Price 6	385.00	02 Feb 2024	Charlene Liu
Price 7	450.00	14 May 2024	Charlene Liu
Price 8	475.00	11 Jul 2024	Charlene Liu
Price 9	500.00	23 Sep 2024	Charlene Liu
Price 10	570.00	02 Oct 2024	Charlene Liu
Price 11	540.00	17 Jan 2025	Charlene Liu
Price 12	610.00	13 Mar 2025	Charlene Liu
Price 13	630.00	19 Mar 2025	Charlene Liu
Price 14	650.00	10 Jul 2025	Charlene Liu
Price 15	690.00	13 Aug 2025	Charlene Liu
Price 16	715.00	17 Sep 2025	Charlene Liu
Price 17	780.00	10 Oct 2025	Charlene Liu
Price 18	770.00	13 Nov 2025	Charlene Liu
Price 19	750.00	18 Mar 2026	Charlene Liu
Price 20	720.00	13 May 2026	Charlene Liu
Price 21	655.00	10 Jul 2026	Charlene Liu

Source: HSBC

Tencent Holdings (80700.HK) share price performance
CNY Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	15 Nov 2023	Charlene Liu
Target price	Value	Date	Analyst
Price 1	416.00	15 Nov 2023	Charlene Liu
Price 2	380.00	02 Jan 2024	Charlene Liu
Price 3	346.00	15 Jan 2024	Charlene Liu
Price 4	350.00	02 Feb 2024	Charlene Liu
Price 5	410.00	14 May 2024	Charlene Liu
Price 6	445.00	11 Jul 2024	Charlene Liu
Price 7	462.00	23 Sep 2024	Charlene Liu
Price 8	526.00	02 Oct 2024	Charlene Liu
Price 9	512.00	17 Jan 2025	Charlene Liu
Price 10	579.00	13 Mar 2025	Charlene Liu
Price 11	598.00	19 Mar 2025	Charlene Liu
Price 12	594.00	14 May 2025	Charlene Liu
Price 13	592.00	10 Jul 2025	Charlene Liu
Price 14	628.00	13 Aug 2025	Charlene Liu
Price 15	651.00	17 Sep 2025	Charlene Liu
Price 16	710.00	10 Oct 2025	Charlene Liu
Price 17	701.00	13 Nov 2025	Charlene Liu
Price 18	696.00	15 Jan 2026	Charlene Liu
Price 19	674.00	18 Mar 2026	Charlene Liu
Price 20	647.00	13 May 2026	Charlene Liu
Price 21	589.00	10 Jul 2026	Charlene Liu

Source: HSBC

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TENCENT HOLDINGS	0700.HK	455.20	28 Aug 2026	1, 4, 5, 6, 7, 11

Source: HSBC

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